

Georgia Tech Real Estate Club

September 17th

6:30-7:30pm

George/Scheller Tower

Room 0232

Content

- Real Estate
- Sectors of Real Estate
- Financing
- Development
- Basic Accounting
- Careers in Real Estate

What is Real Estate?



Real estate = land + anything built on it.

Sectors of Real Estate?

What are the Sectors of Real Estate?



Residential

Properties people live in



Office

Properties people work from



Industrial

Store, move, or make goods



Retail

Where consumers shop

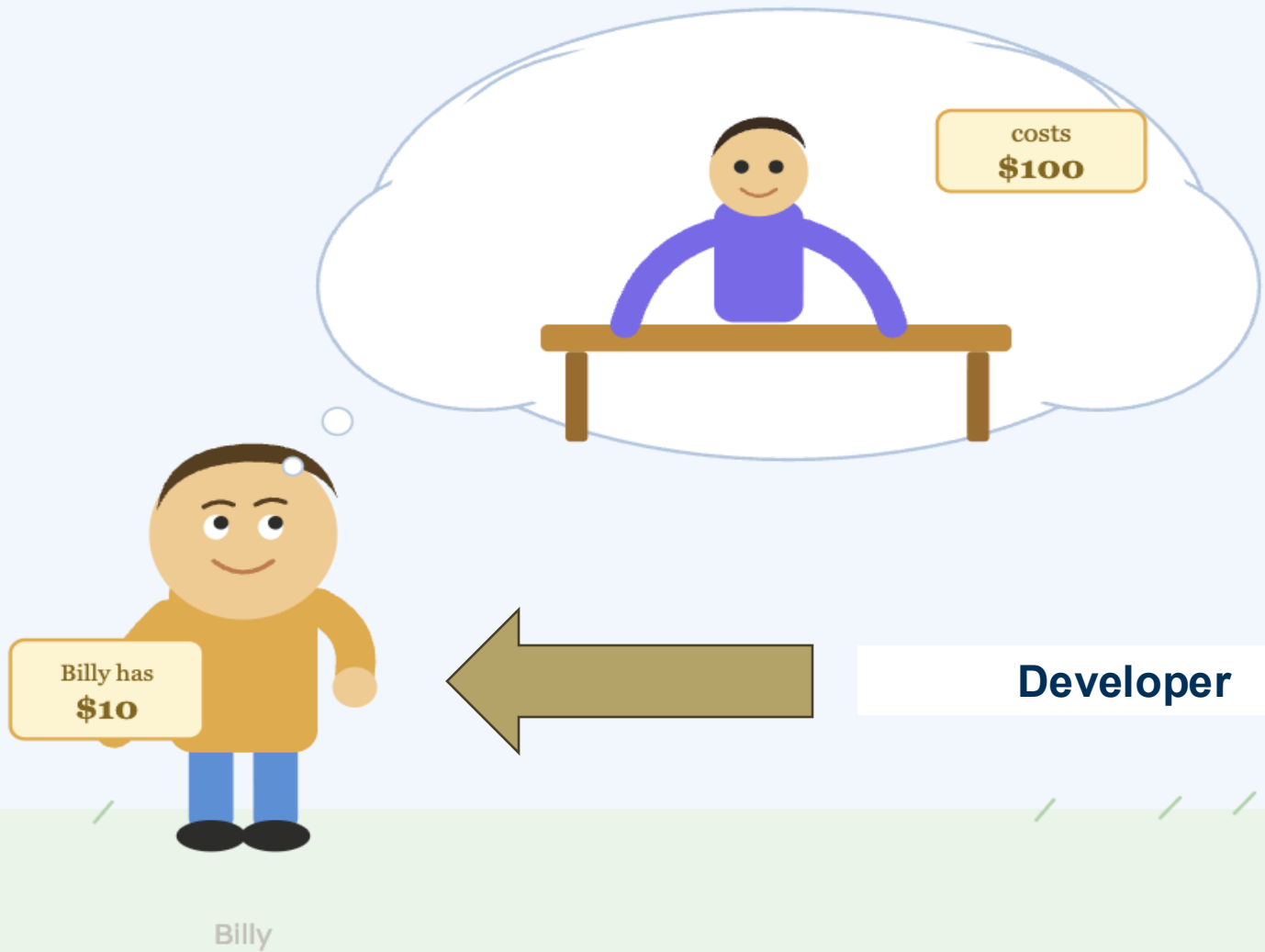


Hospitality

Short-term lodging, leisure, and travel

How Does Real Estate Become Real?

Step 1: The Idea



Examples of Developers

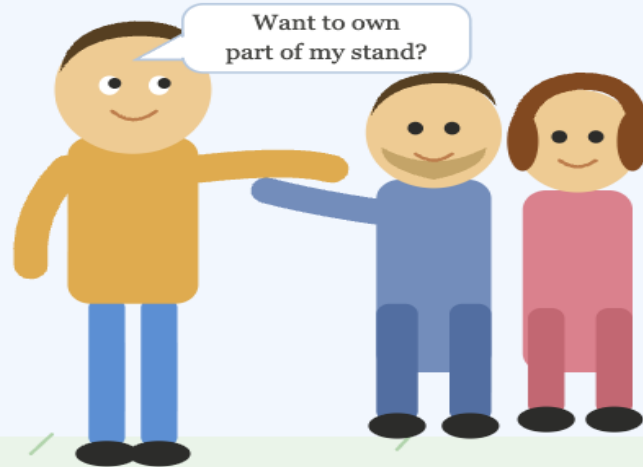


RELATED

- **Underwrites** deals to evaluate financial feasibility and projected returns
- **Coordinates** with project managers, leasing brokers, and capital partners across all stages of development

Step 2: Finding investors (Financing)

Parents — equity stake



Billy

Dad

Mom

Uncle — loan (debt)



Uncle

Billy

Step 2: Financing – Debt VS Equity

Debt

Borrowed money, paid back

- No ownership given
- Lender earns interest

Billy's uncle — \$60 loan

Equity

Ownership stake, never repaid

- Investor owns a share
- Earns a cut of profits

Billy's parents — \$20 stake
Billy himself — \$10 stake

Step 2: Finding Investors – Equity Stake

Partners — both hold an equity ownership stake

Billy

General partner (GP)

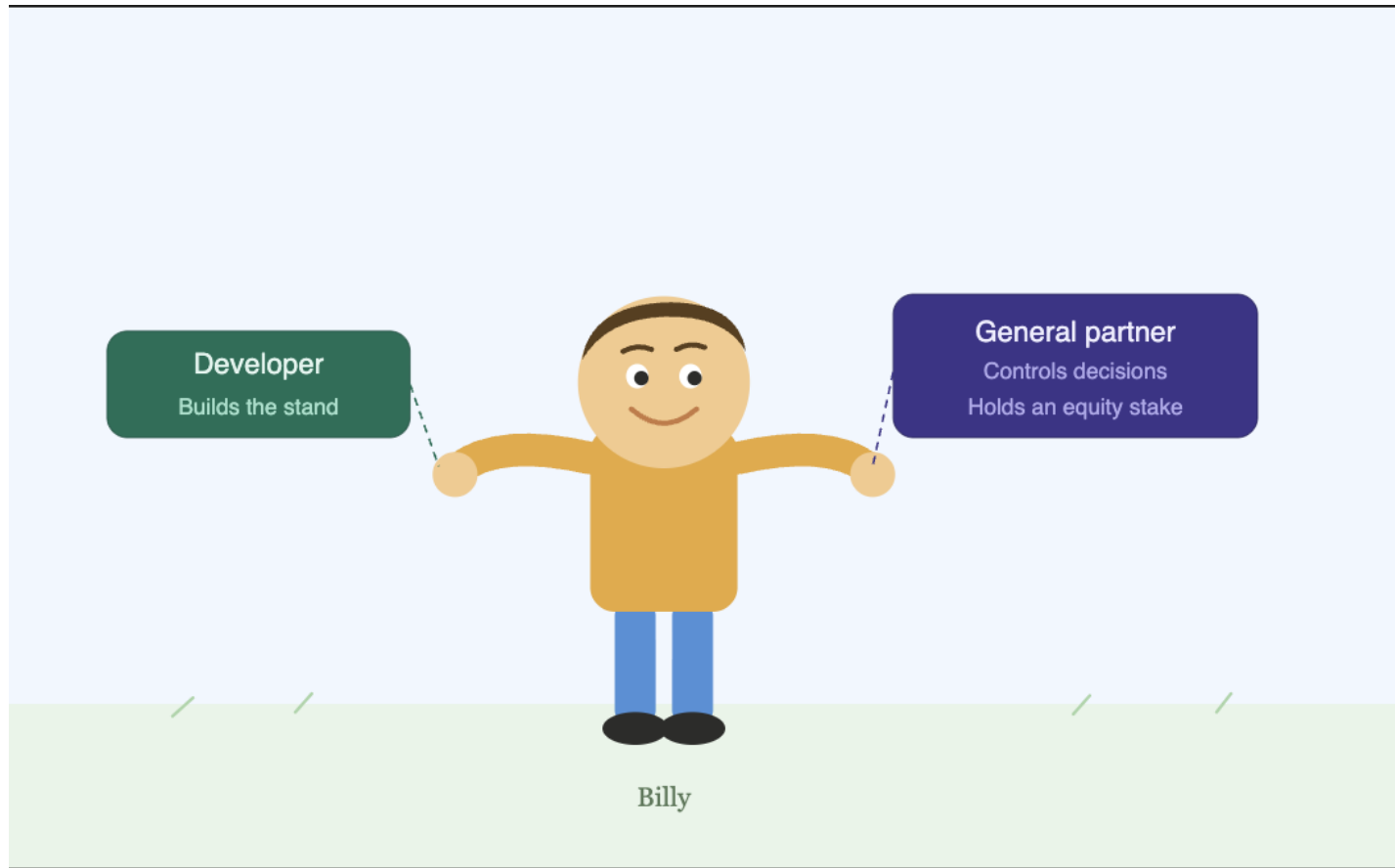
- Runs the stand daily
- Makes all decisions

Parents

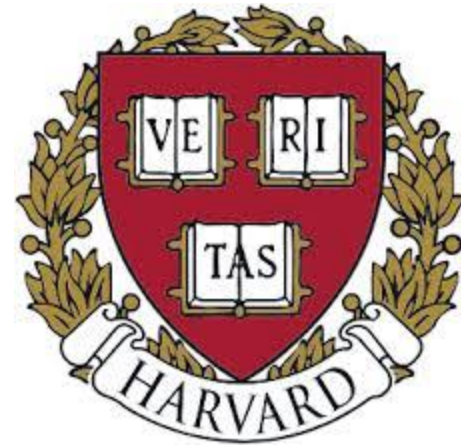
Limited partners (LP)

- Purely passive
- No say in decisions

Billy's Role

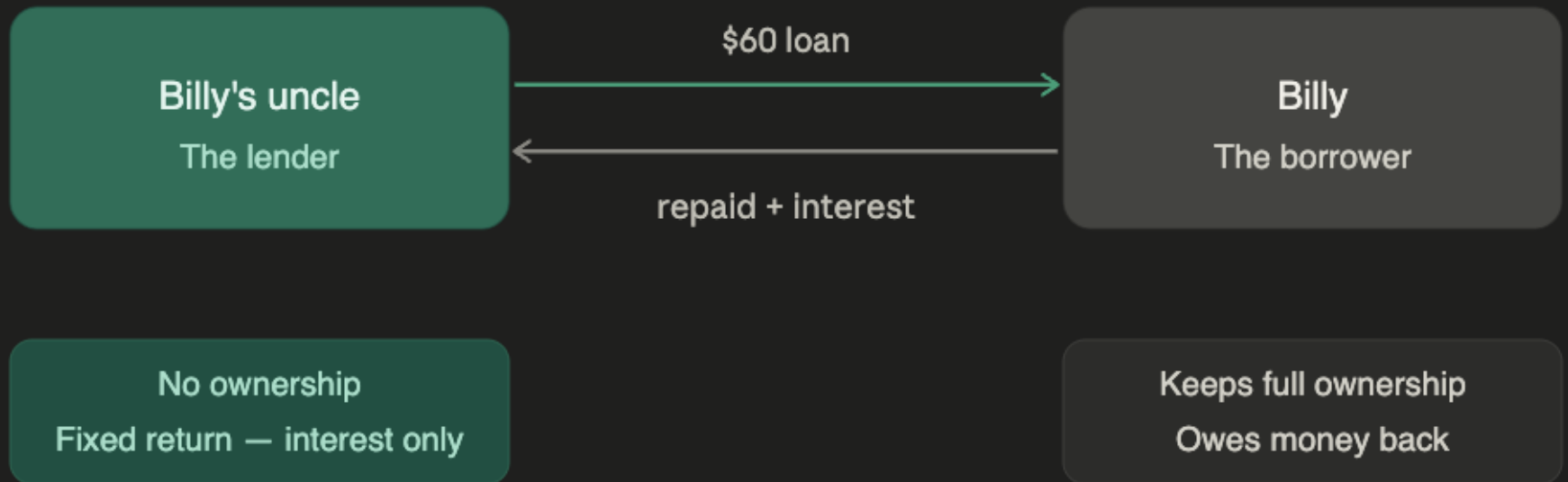


Limited Partner Examples



Passive investors, they provide capital and receive returns, but make no operating decisions.

Step 2: Financing – Debt Lenders



Examples of Real Estate Lenders

Bank of America.



J.P.Morgan



Reviews loan requests to determine if a borrower and property are worth lending to

Step 2: Financing – Diagrams

Capital stack — \$100 total

GP equity — \$10

Billy — controls the stand

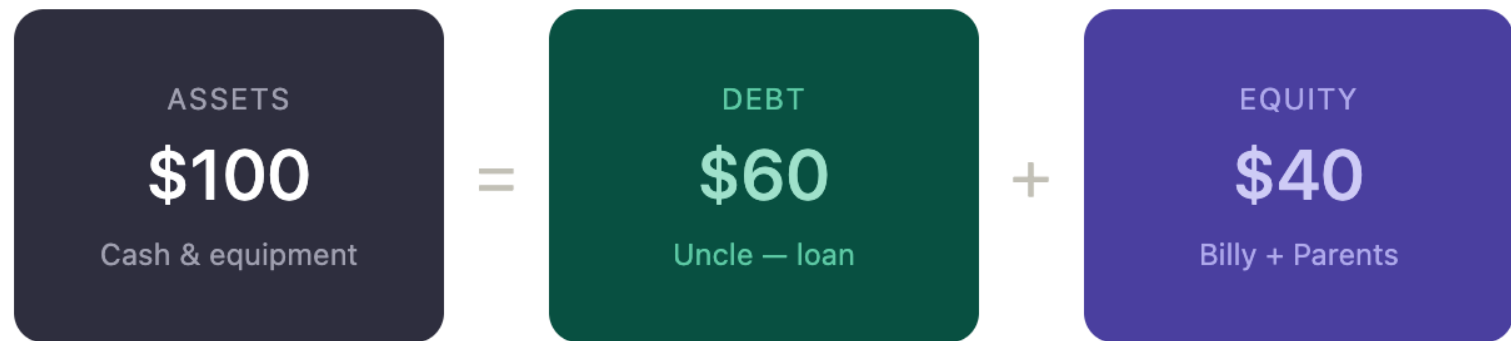
LP equity — \$30

Parents — passive ownership

Debt — \$60

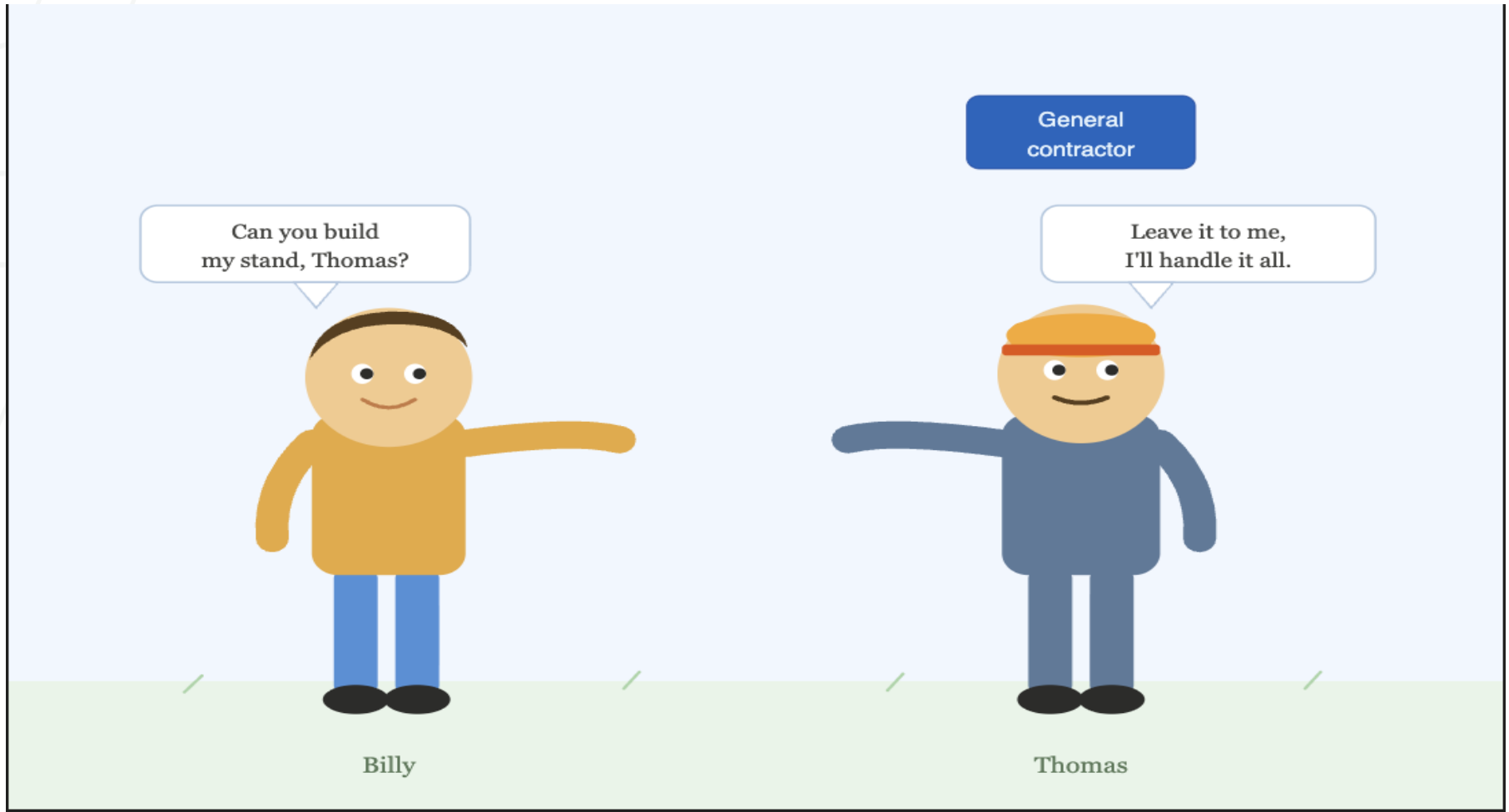
Uncle — loan, repaid with interest

Another Diagram :)



Assets = Debt + Equity

Step 3: Development



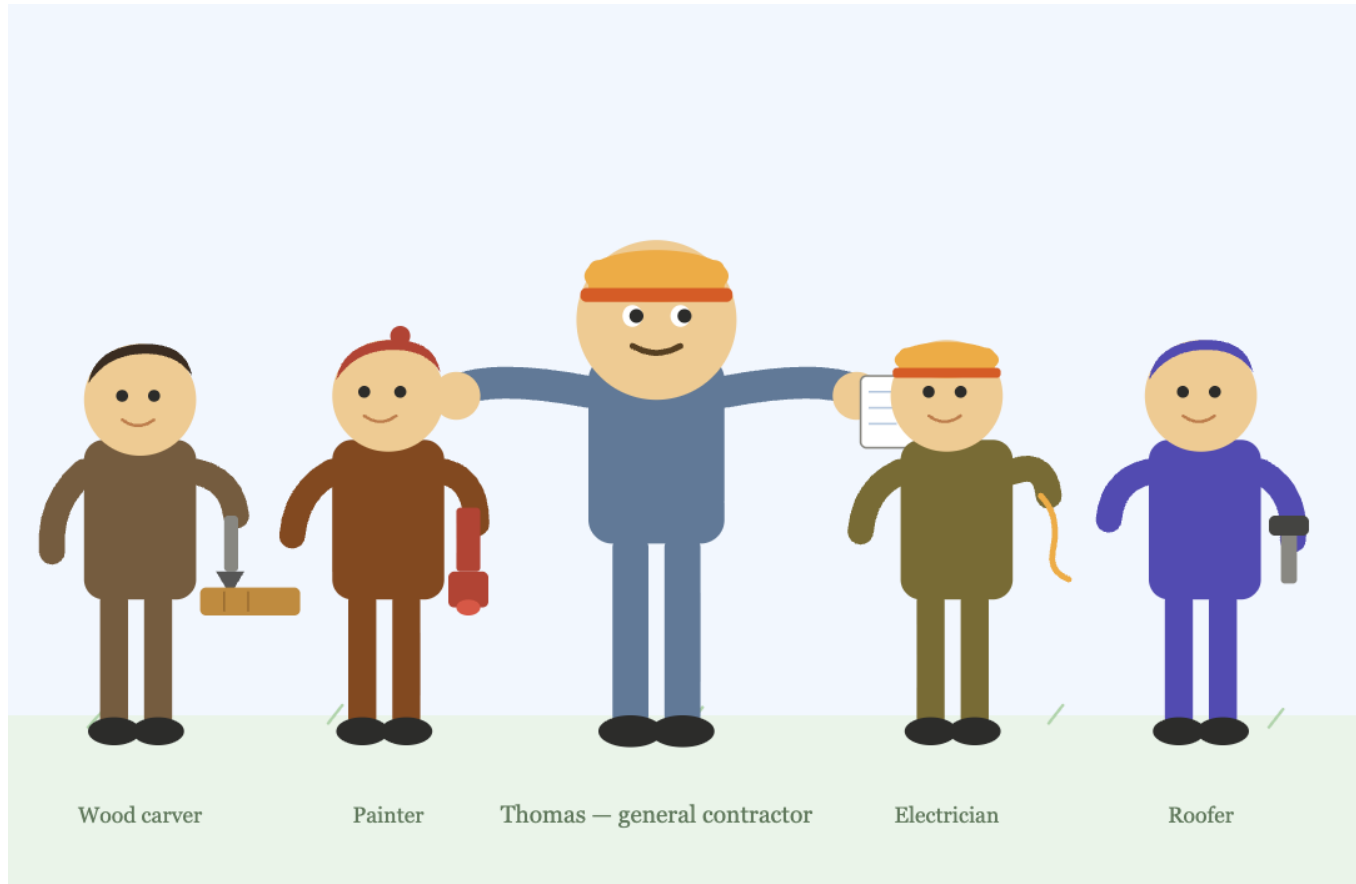
General Contractor Examples



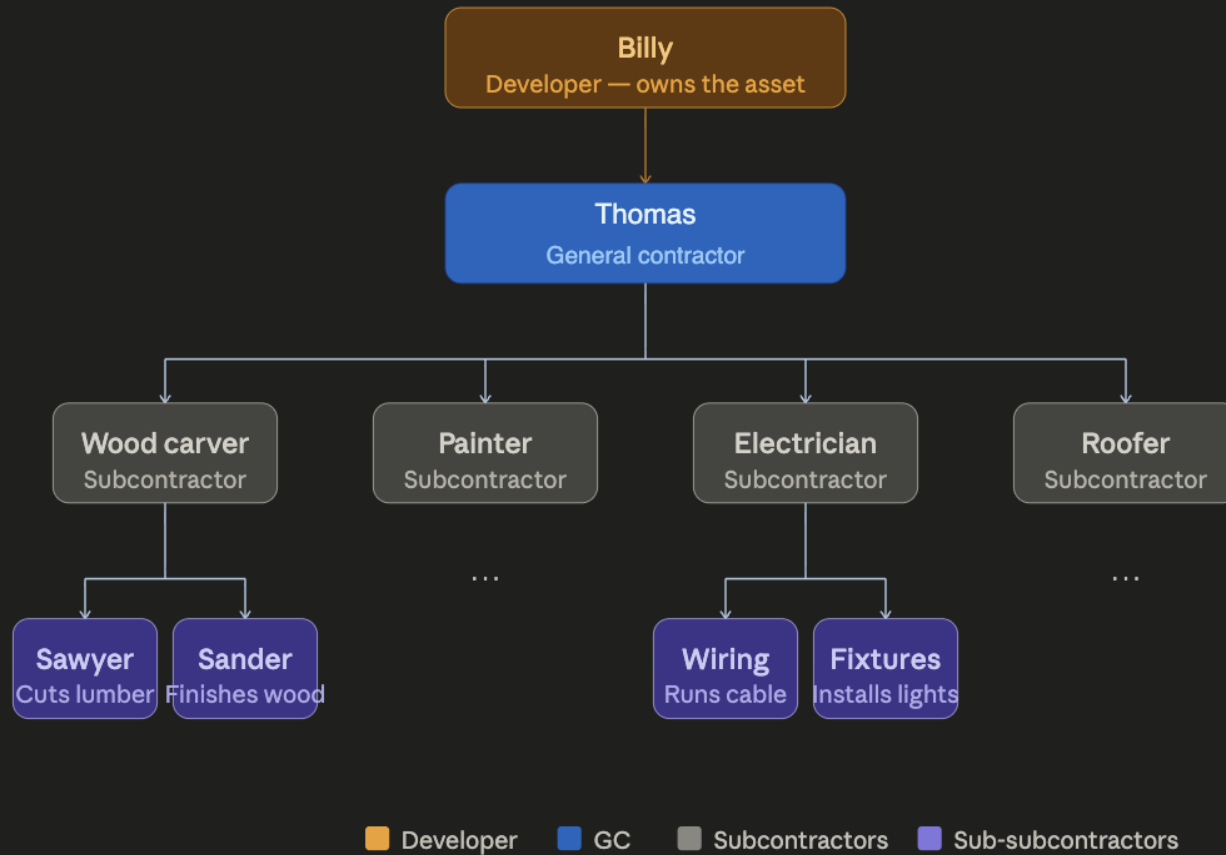
- Oversees day-to-day construction on site to make sure the building gets built on time and on budget
- Hires and manages subcontractors
- Coordinates with the developer

SKANSKA

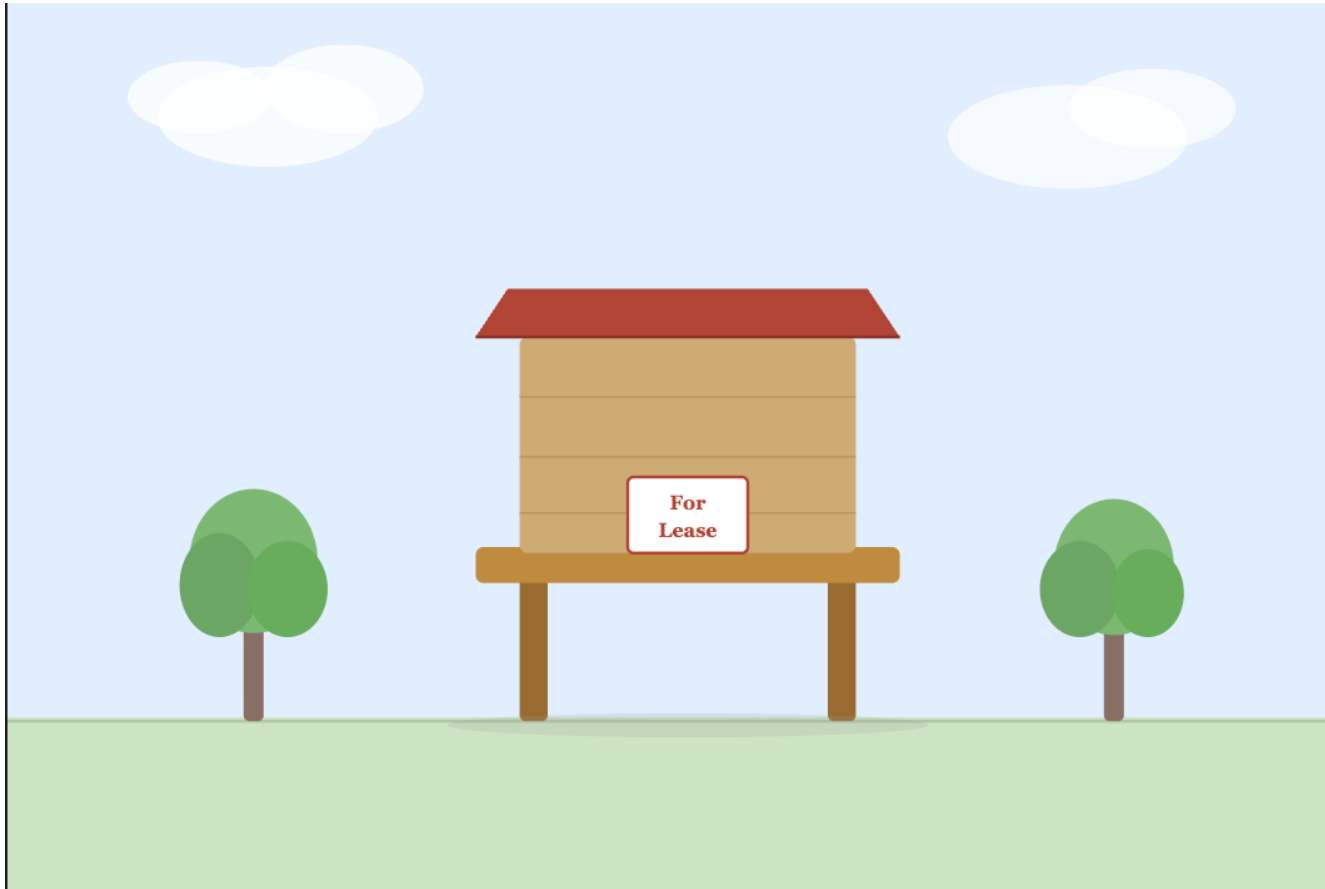
Step 3: Development: G.C - Hires Subcontractors



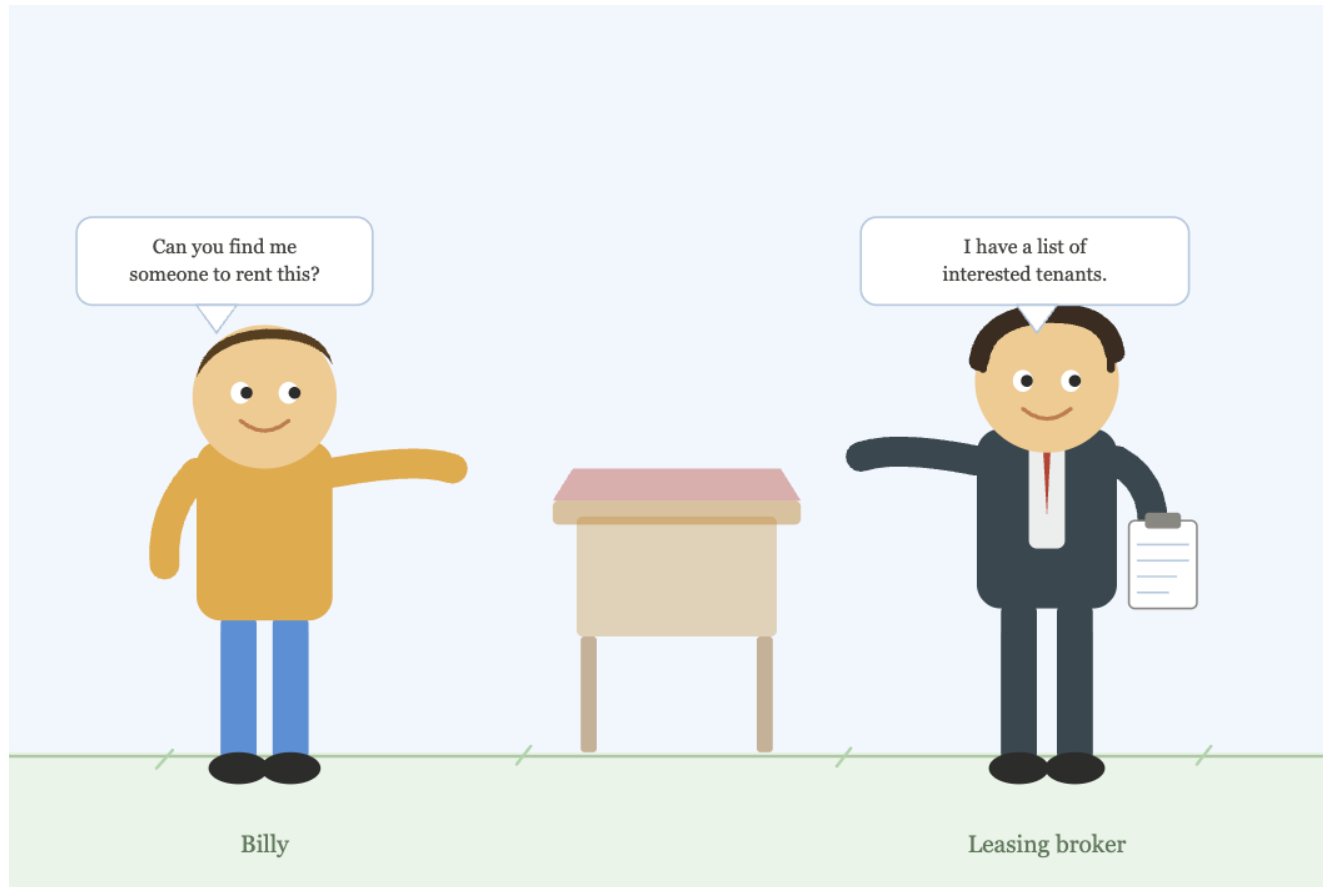
Step 3: Development - Diagram



Step 4: Finding a Leaseholder



Step 4: Finding a Leaseholder - Broker



Leasing Broker Examples



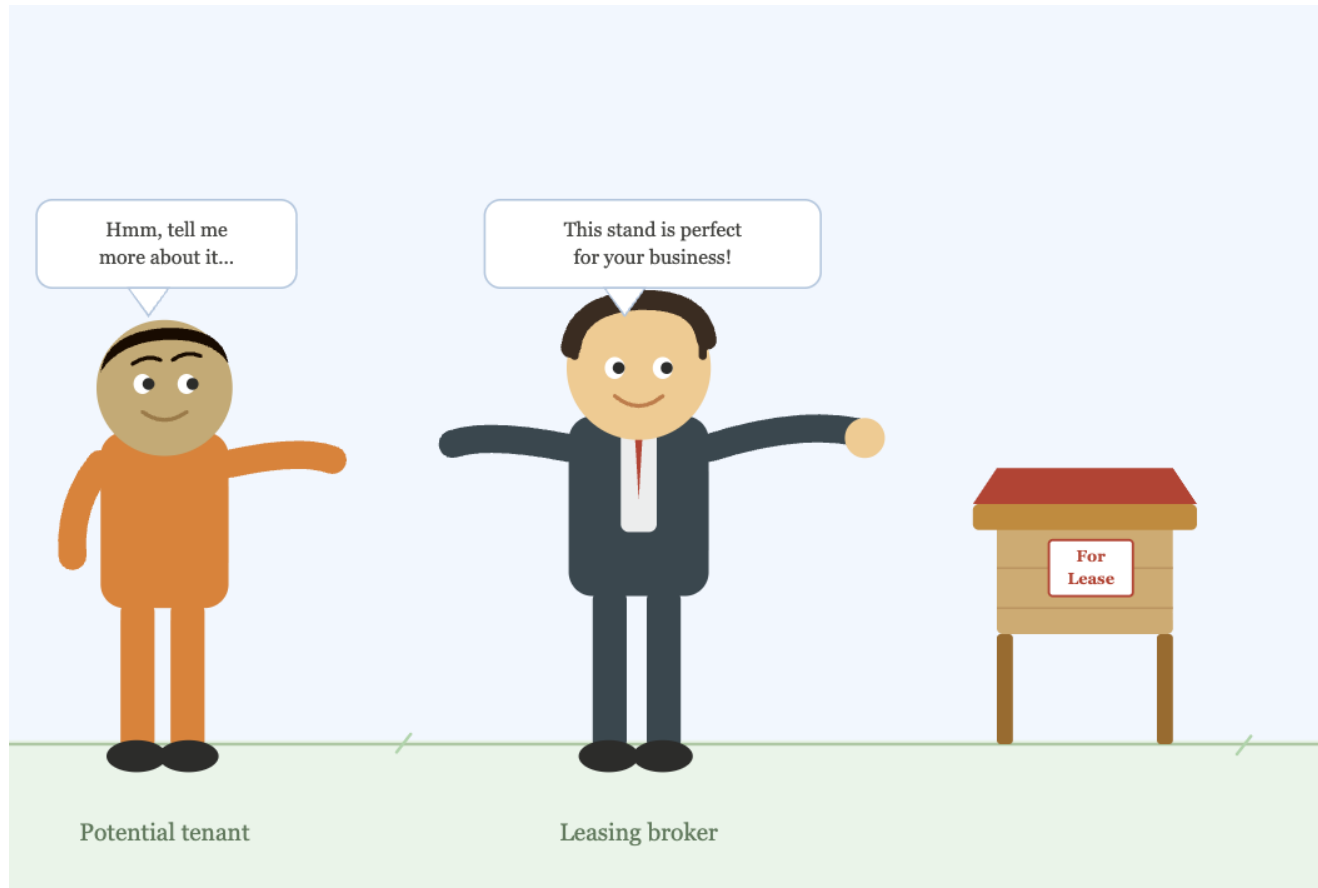
Leasing Agent / Tenant Finder (Landlord Rep)

- Represents the building owner and works to fill vacant space with qualified tenants

Tenant Rep Broker

- Represents tenants looking for space — helps them find the right building, negotiate the best lease

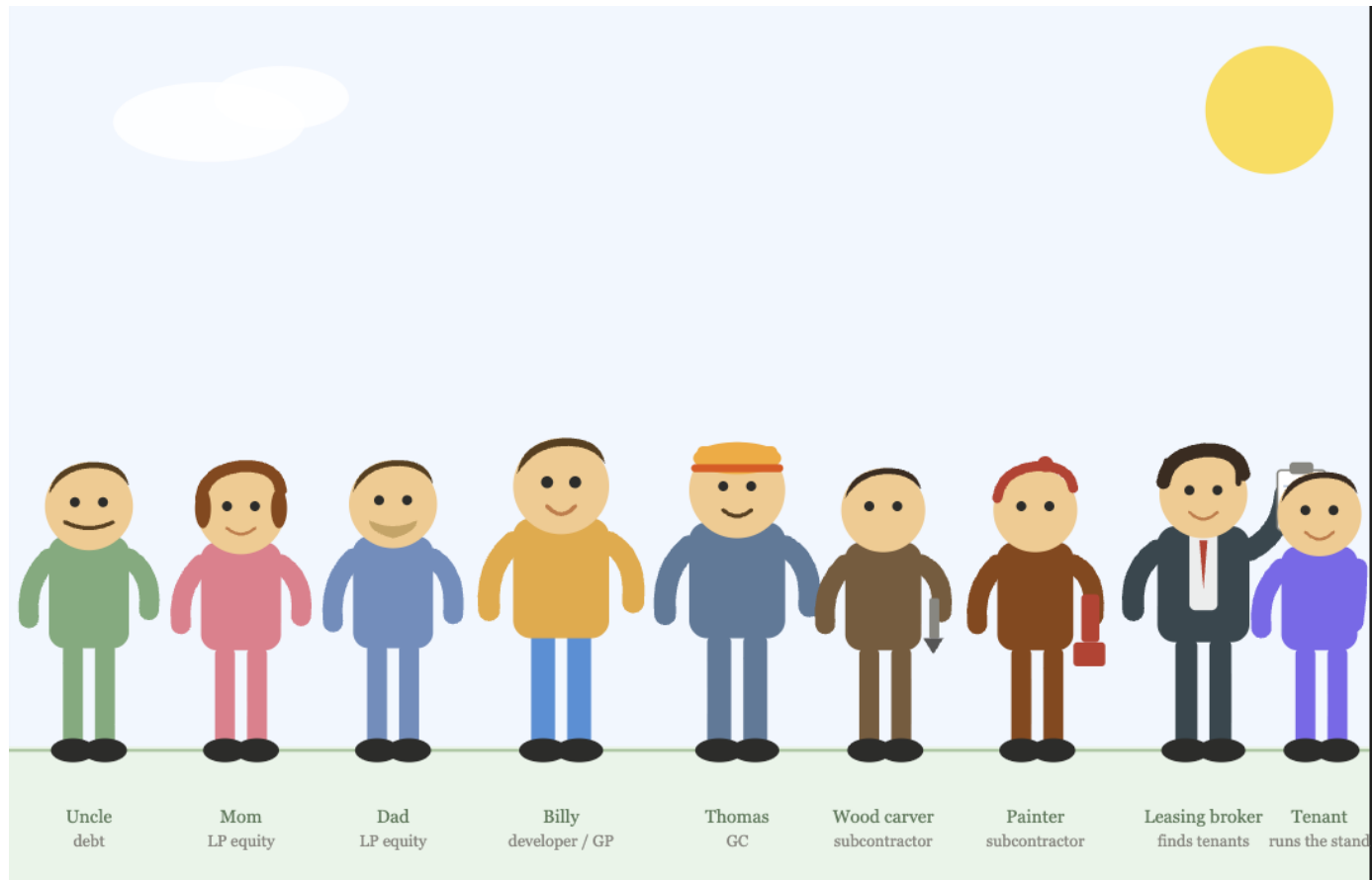
Step 4: Finding a Lease Holder



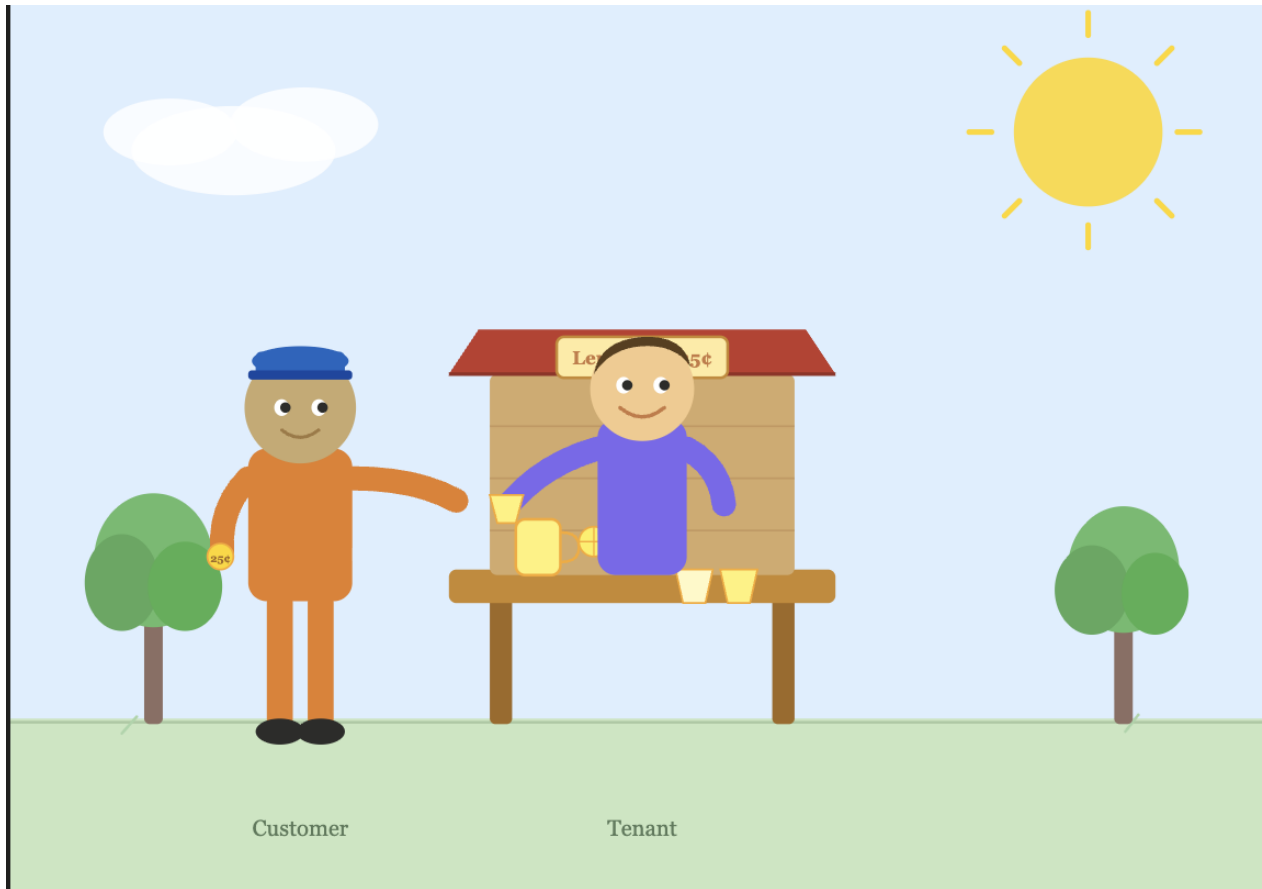
Diagram



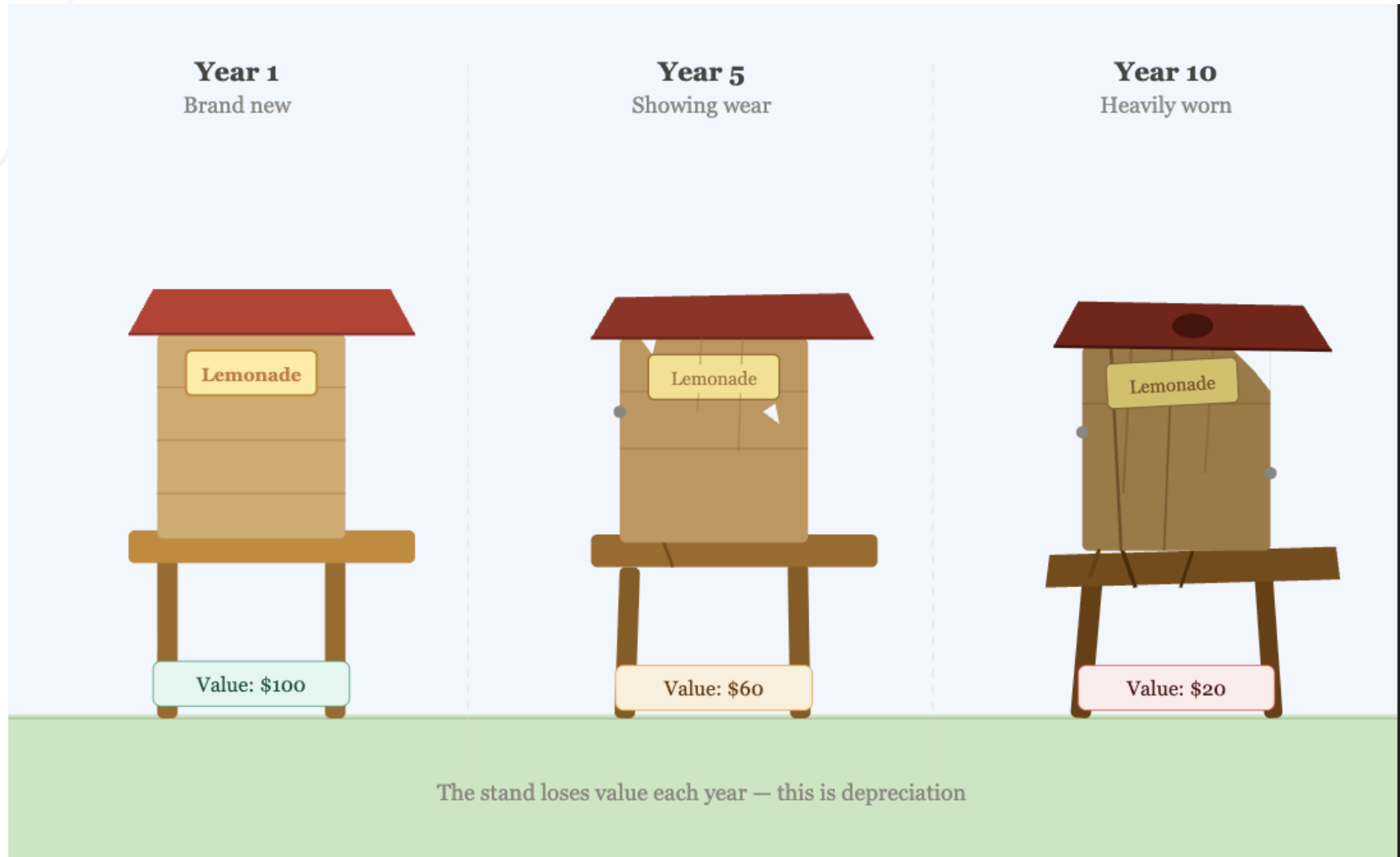
Everyone Involved – Career Choices



Yay



Depreciation, A Concept



Deprecation - Definition

A noncash expense created to acknowledge that an asset loses value over time. *No money actually leaves your pocket.* It is simply a way of putting a number on wear and tear.

Are we making money?

Billy's Stand — Annual Income Statement

REVENUE

Rent from tenant	\$24.00
------------------	---------

Total revenue	\$24.00
---------------	---------

OPERATING EXPENSES

Maintenance & supplies	(\$2.00)
------------------------	----------

Insurance	(\$1.00)
-----------	----------

Total operating expenses	(\$3.00)
--------------------------	----------

Net Operating Income (NOI)	\$21.00
-----------------------------------	----------------

How the stand performs on its own, before financing

BELOW THE LINE

Interest on uncle's loan (10% on \$60)	(\$6.00)
--	----------

Depreciation (10-year life on \$100)	(\$10.00)
--------------------------------------	-----------

Total below the line	(\$16.00)
----------------------	-----------

Net Income (NI)	\$5.00
------------------------	---------------

What Billy actually keeps after debt interest and depreciation

DEVELOPMENT COST (NOT ON THIS STATEMENT)

Total cost to build the stand	\$100.00
-------------------------------	----------

One-time cost, funded by the capital stack (\$10 GP + \$20 LP + \$60 debt)

TOTAL NET INCOME

\$5.00

Flows to equity holders by ownership %



GP EQUITY

Billy

33% ownership (\$10 of \$30)

\$1.65

$33\% \times \$5.00$

LP EQUITY

Parents

67% ownership (\$20 of \$30)

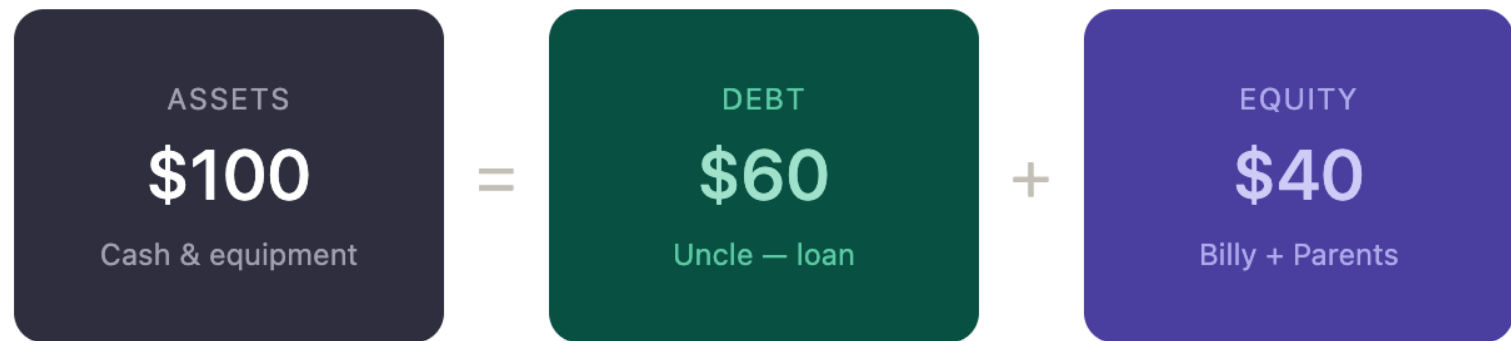
\$3.35

$67\% \times \$5.00$

Billy invested \$10 and earns \$1.65 per year.

His parents invested \$20 and earn \$3.35 per year.

Both earn in proportion to their ownership stake.



Billy's Stand — Annual Income Statement

REVENUE

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Total revenue	\$24.00
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Balance Sheet — End of Year 1

Assets = Debt + Equity

ASSETS

\$105

Stand (net of depreciation): \$90
Cash collected: \$15

=

DEBT

\$60

Uncle's loan
unchanged

+

EQUITY

\$45

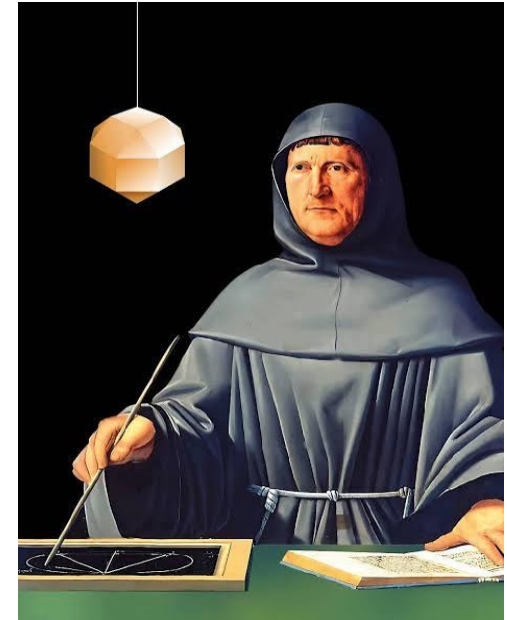
Original investment: \$40
+ Retained earnings (NI): \$5

Assets grew from \$100 to \$105 — stand lost \$10 to depreciation but \$15 in real cash was collected

Balance Sheet

Apple Inc.		
CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)		
(In millions, except number of shares, which are reflected in thousands, and par value)		
	September 26, 2016	September 26, 2015
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 29,943	\$ 29,965
Marketable securities	35,228	31,990
Accounts receivable, net	33,410	29,508
Vendor non-trade receivables	32,833	31,477
Inventories	7,286	6,331
Other current assets	15,287	14,695
Total current assets	152,987	143,966
Non-current assets:		
Marketable securities	91,479	100,544
Property, plant and equipment, net	45,680	43,715
Other non-current assets	18,634	61,768
Total non-current assets	211,993	209,017
Total assets	\$ 364,980	\$ 352,983
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 68,960	\$ 62,611
Other current liabilities	78,304	58,829
Deferred revenue	8,249	8,061
Commercial paper	9,967	5,985
Term debt	19,912	9,822
Total current liabilities	176,392	145,308
Non-current liabilities:		
Term debt	85,750	95,281
Other non-current liabilities	45,688	49,848
Total non-current liabilities	131,438	145,129
Total liabilities	307,830	290,437
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 per value; 50,400,000 shares authorized; 15,718,795 and 15,550,081 shares issued and outstanding, respectively	83,276	73,812
Accumulated deficit	(19,154)	(214)
Accumulated other comprehensive loss	(17,722)	(11,452)
Total shareholders' equity	56,950	62,146
Total liabilities and shareholders' equity	\$ 364,980	\$ 352,983

[Company Name]		© Corporate Finance Institute®. All rights reserved.				
Balance Sheet						
(USD \$ millions)						
	2014	2015	2016	2017	2018	
Assets						
Current assets:						
Cash	167,971	181,210	183,715	211,069	239,550	
Accounts Receivable	5,100	5,904	6,567	7,117	7,539	
Prepaid expenses	4,806	5,513	5,170	5,998	5,682	
Inventory	7,805	9,601	9,825	10,531	11,342	
Total current assets	185,682	202,228	205,277	234,715	264,112	
Property & Equipment	45,500	42,350	40,145	38,602	37,521	
Goodwill	3,580	3,460	3,910	3,870	3,850	
Total Assets	234,762	248,038	249,332	277,187	305,483	
Liabilities						
Current liabilities:						
Accounts Payable	3,902	4,800	4,912	5,265	5,671	
Accrued expenses	1,320	1,541	1,662	1,865	1,899	
Unearned revenue	1,540	1,560	1,853	1,952	1,724	
Total current liabilities	6,762	7,901	8,427	9,082	9,294	
Long-term debt	50,000	50,000	30,000	30,000	30,000	
Other long-term liabilities	5,526	5,872	5,565	6,051	5,909	
Total Liabilities	62,288	63,773	43,992	45,133	45,203	
Shareholder's Equity						
Equity Capital	170,000	170,000	170,000	170,000	170,000	
Retained Earnings	2,474	14,265	35,340	62,053	90,280	
Shareholder's Equity	172,474	184,265	205,340	232,053	260,280	
Total Liabilities & Shareholder's Equity	234,762	248,038	249,332	277,187	305,483	
Check	0.000	0.000	0.000	0.000	0.000	

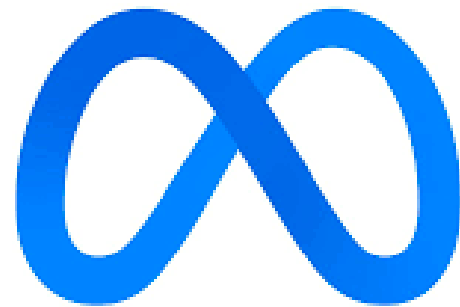


Income Sheet Example

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
(In millions except per share data)

Year Ended December 31,	2025	2024	2023
Net Operating Revenues	\$ 47,941	\$ 47,061	\$ 45,754
Cost of goods sold	18,397	18,324	18,520
Gross Profit	29,544	28,737	27,234
Selling, general and administrative expenses	14,521	14,582	13,972
Other operating charges	1,261	4,163	1,951
Operating Income	13,762	9,992	11,311
Interest income	786	988	907
Interest expense	1,654	1,656	1,527
Equity income (loss) — net	2,031	1,770	1,691
Other income (loss) — net	1,073	1,992	570
Income Before Income Taxes	15,998	13,086	12,952
Income taxes	2,861	2,437	2,249
Consolidated Net Income	13,137	10,649	10,703
Less: Net income (loss) attributable to noncontrolling interests	30	18	(11)
Net Income Attributable to Shareowners of The Coca-Cola Company	\$ 13,107	\$ 10,631	\$ 10,714
Basic Net Income Per Share¹	\$ 3.05	\$ 2.47	\$ 2.48
Diluted Net Income Per Share¹	\$ 3.04	\$ 2.46	\$ 2.47
Average Shares Outstanding — Basic	4,303	4,309	4,323
Effect of dilutive securities	10	11	16
Average Shares Outstanding — Diluted	4,313	4,320	4,339

¹ Calculated based on net income attributable to shareowners of The Coca-Cola Company.



Cap Rate – The Fundamental Metric Behind

$$\text{Cap Rate} = (\text{NOI} / \text{Property value})100$$

Asset Class Comparison

How Class A, B, and C differ across key risk factors

LOWEST RISK Class A 4% – 5.5% cap rate		MEDIUM RISK Class B 6% – 8% cap rate		HIGHEST RISK Class C 9% – 12% cap rate	
Tenant quality	High	Tenant quality	Medium	Tenant quality	Low
Vacancy risk	Low	Vacancy risk	Medium	Vacancy risk	High
Capex needs	Low	Capex needs	Medium	Capex needs	High
Liquidity	High	Liquidity	Medium	Liquidity	Low

Lower cap rate = safer asset, higher price paid per dollar of NOI



The Mentorship Program

2026 GTRE Analyst Program		
	Topic	Location
8/31/2026	Info Session	Caddell
9/14/2026	Intro and CRE Overview	Caddell
9/21/2026	Capital Markets & Financing	Caddell
9/28/2026	Recruitment Event - Peachtree	Caddell
10/5/2026	FALL BREAK	Caddell
10/12/2026	Development & Construction	Caddell
10/19/2026	Investments in CRE	Caddell
10/26/2026	Case Study Overview/Submarket Research	Caddell
11/2/2026	Underwriting and Excel Modeling	Caddell
11/9/2026	Case Study Example	Caddell
11/16/2026	Case Study Review Session	Caddell
11/23/2026	Presentations Day 1	Caddell
11/30/2031	Break	Caddell
12/7/2031	Presentations Day 2	Caddell



★ Weekly sessions held every Monday evening · Assignments reinforce each topic

Industry Events/Panels



2026 GTRE Industry Events		
	Topic	Location
9/10/2026	Kickoff Event	Scheller Tower
9/17/2026	Careers in RE	Caddell
9/24/2026	JOINT Private Equity Panel	Biltmore
10/15/2026	Development Panel	Caddell
10/22/2026	Capital Markets Panel	Caddell
10/29/2026	Site Tour	Caddell
11/5/2026	Affordable Housing Panel	Caddell
11/12/2026	Site Tour	Caddell
11/19/2026	Entrepreneuership Panel	Caddell



The Case Study



The culminating challenge of the Analyst Program — your chance to do real estate.

01

Choose Your Deal

Select an actual property — multifamily, office, industrial, retail. You pick the asset and market.

02

Due Diligence

Research the market, submarket, comparable properties, and risk factors — just like a real acquisition team.

03

Financial Underwriting

Build a full financial model in Excel: NOI, cap rate, IRR, debt assumptions, and returns to equity.

04

Present to the Alumni Board

Pitch your deal to industry professionals. Defend your assumptions. This is your first real reps in the room.

Your case study result — combined with overall participation — determines your path: Leadership or The Fund.

The Mixed-Use Challenge



PORTMAN

One of the largest
developers in Atlanta.

\$5 Billion in AUM (assets
under managements)

A small group of the best performers within the club will be selected each semester to showcase their knowledge at the Portman office, evaluated by high level executives on a real deal they are working on.

STARTING THIS FALL

What Is The Fund?

A student-led investment vehicle that puts analysts in the room on real transactions.

\$400K

Verbally Committed
to Start the Fund

Live

Real deals working with a
learning from Industry
Professionals

Partners

Structure: Limited Partner
Investments in Real Deals

Prepared

- Argus
- Baizel
- Deal walkthroughs

The Best On-Ramp Into Real Estate



No Real Estate Degree at Georgia Tech

Hands-On Underwriting Experience

The Fastest-Growing RE Community at GT

Industry Wants Georgia Tech Students

Where we have taken our talents



Berkshire

Blackstone

BlackRock®



- What factors may drive a developer to construct a property?
- Why might someone choose to be a debt investor over an equity investor?
- What is the difference between non-cash **accrual** accounting and **cash accounting**?
- How do certain financial statements **connect**?
- Why might one property trade at a lower cap rate than another property?
- Why do prospective new investors who are looking to buy existing properties choose to look at NOI rather than NI?

Definitions

- **Real estate:** Physical property, including the land and anything built on it, that can be owned, developed, leased, or sold.
- **Residential:** Properties designed for people to live in.
- **Office:** Properties designed for businesses to work from.
- **Industrial:** Properties designed to store, move, or manufacture goods.
- **Retail:** Properties designed for businesses to sell directly to consumers.
- **Hospitality:** Properties designed for short-term lodging.

Definitions

- **Asset:** The physical property itself. In Billy's case, the stand.
- **Debt:** Borrowed money that must be repaid with interest. The lender receives no ownership.
- **Equity:** Ownership in an asset. Never repaid. Investors earn a share of profits instead.
- **Capital stack:** The structure showing how a project is funded, broken into debt and equity layers.
- **Balance sheet:** A snapshot showing what an asset is worth on one side, and how it is funded on the other.
- **General partner (GP):** The active owner who controls decisions and holds an equity stake.
- **Limited partner (LP):** A passive investor who contributes money in exchange for an ownership stake but has no say in decisions

Definitions

- **Developer:** The person with the idea who initiates, oversees, and owns the project.
- **General contractor (GC):** The person hired to build the project. Manages all construction and hires subcontractors.
- **Subcontractor:** A specialist hired by the GC to perform a specific trade, such as carpentry, painting, or electrical work.
- **Leasing broker:** A person who finds tenants for a property and earns a one-time commission when a lease is signed.
- **Tenant:** The person or business that rents and occupies the property, paying the owner rent on an ongoing basis.
- **Rent:** The recurring payment made by the tenant to the property owner in exchange for use of the space.
- **Commission:** A one-time fee paid to the leasing broker by the owner for successfully placing a tenant.

Definitions